



Chapter 9

Delivering Diversification with Packaged Securities

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Diversification is key when you're helping customers set up a portfolio of securities, and it's fairly easy when your customer has a good deal of money to invest. But what if an investor has limited resources? Certainly, such investors can't afford to buy several different securities, and you don't want to limit your customer to only one (heaven forbid it should go belly up). Packaged securities to the rescue! These securities, such as open-end funds, closed-end funds, face-amount certificate companies, UITs, and annuities, offer variety within one security by investing a customer's money in a diversified pool of securities ... for a cost, of course. A bit of profit-driven teamwork can ensure your customers' investments are much safer than, say, the blackjack tables in Vegas.

In this chapter, I cover topics relating to investment companies and annuities. Open-end (mutual) funds and closed investment funds are only the beginning. I also discuss face-amount certificate companies and trusts like unit investment trusts (UITs).

As with other non-exempt securities, investment companies must register with the Securities and Exchange Commission (SEC). When registering with the SEC, they must disclose:

- Whether the investment company will be open- or closed-end
- The names and addresses of affiliated persons
- If the company plans to raise money by borrowing
- If they plan on investing in commodities or real estate
- How they plan on investing (a single industry, many industries, debt securities, and so on)
- Conditions under which the investment plan can change (in other words, a vote or shareholder)
- The business experience of each director and officers

Diversifying through Management Investment Companies

In general, investment companies are ones whose business is investing in securities. As such, they take the money received from investors and invest in a large number of different securities. Each investor shares in the profits or losses based on his or her interest in the investment company. The Investment Company Act of 1940 divides investment companies into three main types: management investment companies, face-amount certificate companies, and unit investment trusts. This section focuses on management investment companies, which are the more heavily tested areas of this chapter. I cover the other types in the aptly named “[Considering Other Investment Company Options](#)” section later on.

Management companies are, by far, the most familiar type of investment company. The securities held by the management companies are actively managed by portfolio managers.

As a subclassification of management companies, they can be considered *diversified* or *non-diversified*. In order to be considered diversified, at least 75 percent of the company's assets must be spread out in the following way:

- The management company cannot own more than 10 percent of the outstanding shares of a company.
- No more than 5 percent of the management company's money can be invested in one company's securities.



REMEMBER Since the diversified portion only relates to 75 percent of the management company's assets, the other 25 percent can be invested in any way. Whether the management company is diversified or non-diversified must be in the prospectus.

Comparing open- and closed-end funds

Management companies have to be either open-end or closed-end funds. Make sure you know the difference between the two.

Open-end (mutual) funds

An open-end fund is more commonly known as a mutual fund. As with closed-end funds, *mutual funds* invest in many different securities to provide diversification for investors. The key difference is that mutual funds are constantly issuing and redeeming shares, which provides liquidity for investors. Because open-end fund shares are continuous offerings of new shares, a mutual fund prospectus must always be available. You need to understand the makings of the net asset value and the public offering price when taking the SIE exam:

- **Net asset value (NAV):** Fortunately, the net asset value or net asset value per share is determined the same way for both open- and closed-end funds — by dividing the value of the securities held by the fund by the number of shares outstanding; however, with open-end funds, the NAV is the bid price. When investors redeem shares of a mutual fund, they receive the NAV. Mutual funds can't ever trade below the NAV.
- **Public offering price (POP):** For mutual funds, the public offering price (the ask price) is the NAV plus a sales charge.
If a mutual fund doesn't charge a sales charge, it's called a *no-load fund*.



REMEMBER Because mutual funds are new issues, investors must receive a prospectus (for more on what a prospectus is, see [Chapter 5](#)) and/or a *summary prospectus*. Certainly prospectuses for mutual funds include their holdings, investment strategy, fees, expenses, graphs of the fund's performance, and so on. Every prospectus for every security must contain a disclosure stating that the SEC does not approve of the issue. I assume that this is the SEC's way of not being sued if investors lose money. The SEC just clears the issue.

If the fund provides a summary prospectus, it must include items like the fund's name and ticker symbol, the class of shares, the fund's investment strategies, investment objectives, costs of investing, investment advisors, financial compensation, risks, performance, and so on. The summary prospectus may include an application that investors can use to purchase shares. Potential investors can also request a full prospectus prior to investing. If an investor purchases via a summary prospectus, he must either receive or be provided online access to a full prospectus.

On an ongoing basis, funds must include in their prospectus annual report graphs comparing the performance of the fund to a proper in-

dex (S&P 500, NASDAQ composite, and so on), items and/or strategies that may have affected the performance in the past year, and the name of the fund's manager.

Note: Expenses of a mutual fund include salaries for the board of directors; management (investment advisor) fees for the person or persons making the investment decisions for the fund; custodial fees for the safeguarding of assets (cash, securities, and so on) held by the fund; transfer agent fees for keeping track of investors, sending distributions, and sending proxies; and 12b-1 fees, if any. *12b-1 fees* are fees paid by a mutual fund out of the fund assets to cover promotional expenses such as advertising, printing and mailing of prospectuses to new investors, and so on. If there are 12b-1 fees, they must be included in the prospectus.

Closed-end funds

Unlike open-end funds, closed-end funds have a fixed number of shares outstanding (hence the word *closed*). Closed-end funds act more like stock than open-end funds because they issue new shares to the public, and after that, the shares are bought and sold in the market. Because they trade in the market, they're often called *publicly traded funds*. Although the net asset value of closed-end and open-end funds is figured the same, the public offering price is determined a little differently:

- **Net asset value (NAV):** The net asset value or net asset value per share is the parity price where the fund should be trading. You determine it by dividing the value of the securities held by the fund by the number of shares outstanding. Only closed-end funds may trade below the NAV (at a discount).
- **Public offering price (POP):** For closed-end funds, the public offering price (the ask price) depends more on supply and demand than the NAV. Investors of closed-end funds pay the POP (current market price) plus a broker's commission.

Note: Although closed-end funds are not purchased from and re-deemed with the issuer, they do offer a high degree of liquidity. After the initial offering, they can be purchased or sold either on an exchange or over-the-counter (OTC).

Open and closed: Focusing on their differences

You can expect at least a question or two on the SIE exam relating to investment companies to test you on the differences between open-end and closed-end funds. [Table 9-1](#) should help you zone in on the major distinctions.

TABLE 9-1 Comparing Open-End and Closed-End Funds

<i>Category</i>	<i>Closed-End</i>	<i>Open-End</i>
Capitalization	One-time offering of securities (fixed number of shares outstanding).	Continuous offering of new shares (no fixed number of shares outstanding).
Pricing the fund	Investors purchase at the current market value (public offering price, or POP) plus a commission.	Investors purchase at the net asset value (NAV) plus a sales charge.
Issues	Common stock, preferred stock, and debt securities.	Common stock only.
Shares purchased	Shares can be purchased in full only.	Shares can be purchased in full or fractions (up to

Category***Closed-End******Open-End***

Purchased
and sold

Initial public offerings go through underwriters; after that, investors purchase and sell shares either over-the-counter or on an exchange (no redemption).

three decimal places).

Shares are sold and redeemed by the fund only.



REMEMBER The key difference between open-end and closed-end funds is the method of capitalization. An open-end (mutual) fund is a continuous offering of new securities, whereas a closed-end fund is a one-time offering of new securities.

Keeping your customer's investment objectives in mind

Unlike investors in face-amount certificate companies and unit investment trusts (see “[Considering Other Investment Company Options](#),” still to come), investors of open-end and closed-end funds have many choices available. Investors may be looking for safety, growth, a combination, and so on. This section gives you a glimpse into those investment choices.



REMEMBER The single most important consideration for customers who invest in packaged securities is the fund's investment objectives. This feature surpasses even the sales charge or management fees. If you

become a registered rep, one of your primary jobs will be to help investors decide which type of fund would be best for them. The test-designers want to know you can handle that job. Comparing like-type funds is secondary. So without further ado, here are the major types (although variables within each fund can make a fund riskier or safer, I've placed the list in the normal order from safest to riskiest):

- **Money market fund:** This fund (as you've probably guessed) invests in money market instruments (short-term debt securities). You need to know the specifics of this fund more than other types of funds. Here are the key points:
 - It usually provides a check-writing feature (you're given a checkbook) as a way of redeeming shares.
 - It's always no-load (there's no sales charge).
 - It computes dividends daily and credits them monthly.
 - There's no penalty for early redemption.
- **Income fund:** The primary objective of an income fund is to provide current revenue (not growth) for investors. This type of fund invests most of its assets in a diversified portfolio of debt securities that pay interest and in preferred and common stock of companies that are known to pay consistent dividends in cash. Income funds are considered much safer (more conservative) investments than growth funds. You can assume for SIE exam (and real-life) purposes that income funds are better investment choices for retirees and investors who are looking for a steady cash flow without much risk.
- **Balanced fund:** A balanced fund is a combination of a growth fund and an income fund. Balanced funds invest in common stocks, preferred stocks, long-term bonds, and short-term bonds, aiming to provide both income and capital appreciation while minimizing risk. These funds don't get hammered too badly when the market is bearish but usually underperform when the market is bullish.
- **Growth fund:** This fund is exactly what you'd expect it to be; growth funds invest most of their assets in a diversified portfolio of the common stock of relatively new companies, looking for big in-

creases in the stock prices. Growth funds offer a higher potential for growth but usually at a higher risk for the investor. This type of fund is ideal for an investor who's looking for long-term capital appreciation potential.

Because of the inherent risk of investing in growth funds, they're better for younger investors who can take the risk because they have more time to recover their losses.

- **Specialized (sector) fund:** A specialized or sector fund is a type of fund that invests primarily in the securities of a single industry or geographical area. A specialized fund may invest only in financial services, healthcare, automotive stocks, Japanese securities, and so on. Because specialized funds are limited in their investments, you can assume that they're a little riskier (more volatile) than the average fund.
- **International or global fund:** An international fund invests in companies based anywhere outside of the investor's home country. A global fund invests in securities located anywhere in the world, including the investor's home country. Although international and global funds may be good to round out a portfolio, they aren't without their risks. Along with the risk that investors face by just investing in securities in general, holders of international and global funds also face currency risk, which is the risk that the currency exchange rate between the U.S. and foreign issuers will hurt investors. There's also the additional risk that politics in a particular country will harm the value of the fund.

Hedge funds: What are they?

You've probably heard about hedge funds but aren't exactly sure what they are. For the SIE exam, you do need to know a little bit about them. Because they aren't open- or closed-end funds, unit investment trusts, or face amount certificate companies, they are an exception to the standard definition of investment company under the Investment Company Act of 1940. In addition, because they are considered *private* investment companies and are *only* open to sophisticated (accredited)

investors, they are exempt from SEC registration. Hedge funds often require a very high initial investment — sometimes \$500,000 or more.

Hedge funds hold a pool of investments and are professionally managed like mutual (open-end) funds but have a lot more flexibility. Hedge funds are typically much more aggressive in nature and may buy securities on margin, sell securities short, purchase or sell options, and so on in an attempt to maximize gains. I guess you can almost think of them as a “whatever it takes to make money” type of fund.

Private-equity funds

Private-equity funds are similar to hedge funds in that they’re exempt from SEC registration and only available to sophisticated investors. However, hedge funds invest in securities and are able to buy and sell the securities held quickly, whereas private-equity funds invest directly in companies. They typically buy private companies but may buy enough stock of a publicly traded company to gain controlling interest. Private-equity funds are much more focused on the long-term potential of the companies they purchase, whereas hedge funds are typically looking to make a quick profit.



TIP

Don’t let the variety of funds distract you too much. So many different funds are out there that the choices could drive you crazy. I list the main types, but funds can invest by objective (as previously listed) or composition, such as with foreign stock funds (which invest in foreign securities), tax-exempt funds (which invest in municipal bonds), U.S. government funds, and so on. The composition of the fund should help you match it with your customer’s objectives. For instance, a customer looking for safety and income may invest in a U.S. government bond fund.

Many funds are actually funds of funds, such as life-cycle funds. Life-cycle funds are also called *targeted* or *age-based* funds. The idea behind life-cycle funds is to automatically adjust the composition of the fund so that investors take less risk as they get older. Typically, younger investors can afford to take more financial risk and therefore invest a larger percentage of their portfolio in equity securities and a lesser percentage in fixed-income securities. As investors get older, the percentages should change so that a larger percentage of the portfolio is in fixed-income securities and a lesser percentage is in equity securities. Life-cycle funds are set up with targeted retirement dates. Investors choose the life-cycle fund that matches their retirement date, and the fund adjusts its fund holdings occasionally so that equity funds gradually decrease and funds that invest in fixed-income securities gradually increase.

Dealing with discounts

Investors who have the extra funds available may be able to receive a reduced sales charge for large dollar purchases. Breakpoints and the letter of intent are available to investors of open-end funds and unit investment trusts. Because closed-end funds, after the initial offering, are traded in the market, investors do not receive breakpoints. Dollar cost averaging and fixed share averaging are most often used for open-end fund purchases but may apply to other investments as well.

Breakpoints

Funds have an investment advisor (portfolio manager) who gets paid a percentage of the value of the securities held in the fund. Therefore, one way to entice investors to spend more is to reduce the sales charge when they spend a certain minimum amount of money. That's where the breakpoint comes in.

Management investment companies divide purchase amounts into different tiers. Within a certain range, investors all pay the same sales charge percentage. But when investors spend enough to put them in the next tier (when they hit the *breakpoint*), they get a reduced sales charge. Breakpoints have no set schedule, so they vary from fund to fund.

Another discount, *rights of accumulation*, allows shareholders to receive a reduced sales charge when the amount of the funds held plus the amount purchased is enough to reach a breakpoint. There is no time limit for rights of accumulation.

Here are a few key points for you to remember for the SIE exam:

- Breakpoints must be disclosed in the prospectus.
- Breakpoints are not available to partnerships or *investment clubs* (several people pooling money together to receive reduced sales charges).
- Breakpoints are generally available to individual investors, joint accounts with family members, and corporations.

Breakpoint sales

As an agent, you are responsible for letting investors know about the existence of breakpoints. A *breakpoint sale* is when you induce a sale just below the level where an investor would receive a breakpoint or an additional sales discount. As shown in [Table 9-2](#), you would actually make more money if a client purchased \$9,000 worth of a fund instead of \$10,000 because of the discounted sales charge the customer would receive at \$10,000. It is your responsibility to let the client know that by investing \$1,000 more, she can reach a breakpoint. Not disclosing breakpoints and inducing sales just below breakpoints are both violations.

[TABLE 9-2](#) Breakpoints for ABC Growth Fund

<i>Purchase Amount</i>	<i>Sales Charge</i>
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\$1–\$9,999	7%
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\$10,000–\$19,999	6%
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\$20,000–\$39,999	4%
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\$40,000 and up	2%
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Letters of intent

A *letter of intent* (LOI) signed by an investor allows her to receive a breakpoint (quantity discount) right away with the initial purchase, even if the investor hasn't yet deposited enough money to achieve the breakpoint. This document states that as long as the investor deposits enough within a 13-month period, she will receive the discounted sales charge right away.

Here are a few specifics about the letter of intent that you need to know for the SIE:

- The investor has *13 months* after the first deposit to live up to the terms of the letter of intent in order to maintain the reduced sales charge.
- The LOI may be *backdated for up to 90 days*, meaning that it may apply to a previous purchase. However, remember that if the LOI applies to a previous purchase, the 13-month period starts from the date of that previous transaction.
- While the investor is under the letter of intent, shares are held in escrow to pay for the difference in the sales charge. If the investor doesn't live up to the terms of the obligation, the fund sells the shares held in escrow.

Here's how a letter of intent may work. Suppose, for instance, that Mr. Smith purchased \$2,000 worth of ABC Growth Fund two months ago and has another \$7,000 to invest in the fund right now. Mr. Smith believes that he'll keep investing in ABC Growth Fund and would like to get a reduced sales charge for investments of \$10,000 and up (see [Table 9-2](#) for the breakpoints).

Mr. Smith signs a letter of intent and wants to apply it to his previous purchase. Because his previous purchase was two months ago, Mr. Smith has only another 11 months to invest the remaining \$8,000 into ABC Growth Fund. Mr. Smith will receive the 6 percent sales charge on his \$7,000 investment right now, which will be reduced by the overage he paid on the previous investment of \$2,000. In other words, he'll pay only \$400 sales charge on the current investment (\$420 for this transaction minus the \$20 overpaid from the previous investment) when he invests the \$7,000. As long as Mr. Smith deposits the additional \$1,000 by the end of the letter of intent's time frame, he'll pay the 6 percent sales charge. However, if Mr. Smith doesn't live up to the terms of the agreement, ABC Growth Fund will sell the shares held in escrow to pay for the difference in the sales charge.



REMEMBER Investors may redeem their shares at any time, even if they're under a letter of intent.

Figuring the sales charge and public offering price of open-end funds

You need to know two basic formulas to determine the sales charge and public offering price of open-end funds. Yes, every chapter seems to have more formulas, but these formulas are pretty straightforward and shouldn't cause you too many sleepless nights.

Sales charge percent

The sales charge, which is set at a maximum of 8½ percent, is part of the public offering price (POP), or ask price, not something tacked on afterward like a sales tax. One of the tricks for calculating the sales charge for open-end funds is remembering that the POP equals 100 percent. Therefore, if the sales charge is 8 percent, the net asset value (NAV) is 92 percent of the POP. The formula for determining the sales charge percent is as follows:

$$\text{sales charge \%} = \frac{\text{ask} - \text{bid}}{\text{ask}} = \frac{\text{POP} - \text{NAV}}{\text{POP}}$$

The following question tests your expertise in calculating the sales charge of a mutual fund.



EXAMPLE ABC Aggressive Growth Fund has a net asset value of \$9.20 and a public offering price of \$10.00. What is the sales charge percent?

- (A) 6.8 percent
- (B) 7.5 percent
- (C) 8 percent
- (D) 8.7 percent

The right answer is Choice (C). The first thing that you have to do is set up the equation. Start with the POP of \$10.00 and subtract the NAV of \$9.20 to get \$0.80. Next, divide the \$0.80 by the POP of \$10.00 to get the sales charge of 8 percent:

$$\text{sales charge \%} = \frac{\text{POP} - \text{NAV}}{\text{POP}} = \frac{\$10.00 - \$9.20}{\$10.00} = \frac{\$0.80}{\$10.00} = 8\%$$



TIP To help you remember that the ask (offer) price of a fund is the same as the POP, remember to ask your POP about it.

Public offering price (POP)

When taking the SIE exam, you may be asked to figure out the public offering price of a mutual fund when you're given only the sales charge percent and the NAV.

Remember, the sales charge is already a part of the POP, so the sales charge is *not* equal to the sales charge percent times the NAV. Use the following formula to figure out how much an investor has to pay to buy shares of the fund when you know only the NAV and the sales charge percent:

$$\text{public offering price} = \frac{\text{net asset value}}{100\% - \text{sales charge \%}}$$

The following question tests your ability to answer a POP question.



EXAMPLE DEF Aggressive Growth Fund has a NAV of \$9.12 and a POP of \$9.91. If there is a 5 percent sales charge for investments of \$30,000 and up, how many shares can an investor who is depositing \$50,000 purchase?

- (A) 5,045.409 shares
- (B) 5,208.333 shares
- (C) 5,219.207 shares
- (D) 5,482.456 shares

The answer you want is Choice (B). Don't let the decimals throw you off; mutual funds can sell fractional shares. This investor isn't going to be paying the POP of \$9.91 per share because she's receiving a break-point for a large dollar purchase (see "[Breakpoints](#)," earlier in this chapter). To figure out the POP for this investor, set up the formula:

$$\text{POP} = \frac{\text{NAV}}{100\% - \text{sales charge \%}} = \frac{\$9.12}{100\% - 5\%} = \frac{\$9.12}{95\%} = \$9.60 \text{ per share}$$

After working out the formula, you see that the investor is paying \$9.60 per share instead of \$9.91. Next, determine the number of shares the investor can purchase by dividing the amount of the investment by the cost per share:

$$\frac{\$50,000 \text{ invested}}{\$9.60 \text{ per share}} = 5,208.333 \text{ shares}$$

This investor is able to purchase 5,208.333 shares because of the breakpoint. Without the breakpoint, the investor would have been able to purchase only 5,045.409 shares.

Loads

As I explain earlier in this chapter, most mutual funds charge a sales charge (also known as a *load*) that's built into the public offering price (POP). However, most charge up front, some charge constantly, some charge when redeeming, and some don't charge a load at all. Depending on how investors are charged, mutual funds are broken down into classes:

- **Class A (front-end load):** The investor pays the load when purchasing shares of the fund.
- **Class B (back-end load):** The investor pays the load when redeeming shares of the fund.
- **Class C (level load):** The investors pay a periodic fee (usually annually) over the time period that they hold the fund.
- **Class D (no load):** Investors don't pay a sales charge but may be charged some sort of transaction fee.

Considering Other Investment Company Options

A couple of other types of investment companies — face-amount certificate companies and unit investment trusts (UITs) — aren't as popu-

lar as they used to be. Unfortunately, even though you may never sell any, you do need to know them for the SIE exam. You probably won't see more than a question or two on these topics. However, exchange-traded funds (ETFs) are becoming increasingly popular, and your chance of having a question on ETFs and/or inverse ETFs is around 100 percent.

Face-amount certificate companies

A *face-amount certificate* is a type of packaged security that's similar to a zero-coupon bond (see [Chapter 7](#)); investors make either a lump-sum payment or periodic payments in return for a larger future payment. The issuer of a face-amount certificate guarantees payment of the face amount (a fixed sum) to the investor at a preset date. Very few face-amount certificate companies are around today.

Unit investment trusts (UITs)

A *unit investment trust* (UIT) is a registered investment company that purchases a fixed (unmanaged) portfolio of income-producing securities (typically bonds) and holds them in trust, which means that a UIT acts as a holding company for its investors. Then the company issues redeemable shares (units) that represent investors' interest in the trust. Unlike mutual funds, UITs are set up for a specific period of time and have a set termination date. Any capital gains, interest, and/or dividends are passed on to shareholders at regular intervals.

UITs have a finite number of shares outstanding and are distributed in the primary market at the initial public offering (IPO) price. Because a limited number of shares are outstanding and they must be redeemed with the issuer or sponsor, liquidity is very limited.

Like mutual (open-end) funds, UITs can be purchased by type, such as growth, income, balanced, international, and so forth.

Here are the two main categories of these trusts:

- **Fixed investment trusts:** These companies invest in a portfolio of debt securities, and the trust terminates when all the bonds in the portfolio mature.
- **Participating trusts:** These companies invest in shares of mutual funds. The mutual funds that the trust holds don't change, but the securities held by the underlying mutual funds do.



REMEMBER Because the portfolio of securities is fixed, UITs don't employ investment advisors and therefore have no investment advisor fees during the life of the trust. Nice break!

Exchange-traded products (ETPs)

Exchange-traded products (ETPs) include exchange-traded funds (ETFs) and exchange-traded notes (ETNs). ETPs are considered an alternative to investing in mutual funds because they not only provide diversification like mutual funds but can also be sold short and be purchased on margin. However, investors should be aware that they will typically be charged a commission for buying and selling ETPs, which can really cut into any potential profits.

Most ETFs are *passive*, meaning that they are designed to be a single security that tracks certain indices such as the S&P 500, the S&P 100, the DJIA, NASDAQ securities, and so on. However, some ETFs are *active*, meaning that the securities they hold may change. Quite often ETFs are designed to mirror securities held by certain mutual funds.

Exchange-traded funds (ETFs)

Exchange-traded funds, or ETFs, are closed-end index funds that are traded on an exchange. ETFs provide investors with diversification

along with the ability to sell short and purchase shares on margin. Since these are exchange-traded funds, they can be traded during the day, unlike mutual funds, which have forward pricing (if you buy or redeem, you get the closing price at the end of the day). Even though they trade more like closed-end funds, ETFs are registered as open-end funds or unit investment trusts.

Inverse ETFs (also known as *Short ETFs* or *Bear ETFs*) are exchange-traded funds that are designed using many derivative products, such as options to attempt to profit from a decline in the value of the underlying securities (for example, the S&P 500). Inverse ETFs can be used to profit from a decline in a broad market index or in a specific sector, such as the energy or financial sector.



REMEMBER Because ETFs are traded on an exchange, their market price is not only based on the value of the underlying securities but also on market forces (supply and demand). In addition, because they are traded on an exchange instead of being purchased from the issuer like open-end mutual funds, investors are charged commissions for trades of ETFs.

Exchange-traded notes (ETNs)

Exchange-traded notes have characteristics of ETFs and fixed-income securities. ETNs are unsecured debt securities issued by a bank or financial institution. Their return is linked to a particular market index. Exchange-traded notes don't receive dividends or coupon payments, so investors receive income at a specified maturity date. Since they are traded on an exchange, they may be purchased on margin or sold short. If an investor holds the ETN until the maturity date, the investor will receive a principal amount based on the performance of the index the note is tracking.

Investment company rules 17a-6 and 17a-7

According to *Rule 17a-6*, affiliated persons of investment companies (persons affiliated with the manager of the fund, the custodian bank, and owners of 5 percent or more of the outstanding shares of the fund) are not allowed to trade securities within the fund's portfolio of securities. However, affiliated persons are certainly allowed to buy and redeem shares of the fund like regular public investors.

Rule 17a-7 says that advisors, officers, or directors may trade securities held by funds within the same family of funds (for example, trading securities held from the portfolio of securities of one of Fidelity's Large Value Funds to one of Fidelity's Large Blend Funds or vice versa).

Adding Annuities to a Portfolio

Annuities are similar to mutual funds, except annuities are designed to provide supplemental retirement income for investors. Life insurance companies issue annuities, and these investments provide guaranteed payments for the life of the holder. The SIE exam tests you on the two basic types of annuities: fixed and variable. Because variable annuities are considered securities and fixed annuities are not (because of the guaranteed payout by the insurance company), most of the annuity questions on the SIE exam are about variable annuities.



REMEMBER Gather very specific information about your client before making recommendations. In addition, before recommending annuities, make sure you really understand the ins and outs and know what you're talking about. Annuities have been under the watchful eye of State Insurance Commissions and the SEC due to inappropriate recommendations from some brokers. Annuities typically aren't recommended for younger clients (most annuity purchasers are over the

age of 50), for clients older than 75, or for a client's entire investment portfolio. For information on portfolio and securities analysis, see [Chapter 13](#).

Looking at fixed annuities

The main thing for you to remember about *fixed annuities* is that they have fixed rates of return that the issuer guarantees. Investors pay money into fixed annuities, and the money is deposited into the insurance company's general account. After the investor starts receiving payments from the fixed annuity (usually monthly), the payments remain the same for the remainder of the investor's life. Because of the guaranteed payout, fixed annuities are *not* considered securities and therefore are exempt from SEC registration requirements.



REMEMBER Because the payouts associated with a fixed annuity remain the same, they're subject to *purchasing power risk* (the risk that the investment won't keep up with inflation). An investor who received payments of \$1,000 per month in the 1970s may have been able to survive; however, that amount today is not even likely to pay your monthly grocery bill.

Checking out variable annuities

Insurance companies introduced variable annuities as a way to keep pace with (or hopefully exceed) inflation. In a fixed annuity, the insurance company bears the inflation risk; however, in a variable annuity, the investment risk is borne by the investor. Because the investors assume the investment risk, variable annuities are considered securities and must be registered with the SEC. All variable annuities have to be sold with a prospectus, and only individuals who hold appropriate securities and insurance licenses can sell them.

The money that investors deposit is held in a *separate account* (separate from the insurance company's other business) because the money is invested differently. The separate account is invested in securities such as common stock, bonds, mutual funds, and so on, with the hope that the investments will keep pace with or exceed the inflation rate.

The *assumed interest rate* (AIR) is a projection of the performance of the securities in the separate account over the life of the variable annuity contract. If the assumed interest rate is 4 percent and the performance of the securities in the separate account is equal to 4 percent, the investor receives the payouts that she expects. However, if the securities outperform the AIR, the investor receives higher payouts than expected. And unfortunately, if the securities held in the separate account underperform the AIR, the investor gets lower payouts than expected.

Putting money into (and receiving money from) annuities

Investors have choices when purchasing annuities and getting distributions. Investors may choose a lump-sum payment or multiple payments, depending on their needs. Investors also have a choice regarding how they want to get their distributions at retirement.

Looking at the pay-in phase

Payments into both fixed and variable annuities are made from after-tax dollars, meaning that the investor can't write the payments off on her taxes. However, payments into both fixed and variable annuities grow on a tax-deferred basis (they aren't taxed until the money is withdrawn). If an investor has contributed \$80,000 into a variable annuity that's now worth \$120,000, the investor is taxed only on the \$40,000 difference because she has already paid taxes on the contribution. If an annuitant dies during the pay-in phase, most annuity contracts require a *death benefit* to be paid to the annuitant's beneficiary.

The death benefit is typically the greater of all the money in the account or some guaranteed minimum.

Note: During the pay-in phase, an investor of a variable annuity purchases *accumulation units*. These units are similar to shares of a mutual fund.

Investors have a few payment options to select when purchasing fixed or variable annuities. Here's the rundown of options:

- **Single payment deferred annuity:** An investor purchases the annuity with a lump-sum payment, and the payouts are delayed until some predetermined date.
- **Periodic payment deferred annuity:** An investor makes periodic payments (usually monthly) into the annuity, and the payouts are delayed until some predetermined date; this is the most common type of annuity.
- **Immediate annuity:** An investor purchases the annuity with a large sum, and the payouts begin within a couple months.



REMEMBER Most annuities in which investors are making scheduled deposits provide a *waiver of premium* during the pay-in phase if the annuitant becomes disabled or is confined to long-term care.

Getting the payout

Investors of both fixed and variable annuities have several payout options. These options may cover just the *annuitant* (investor) or the annuitant and a survivor. No matter what type of payout option the investor chooses, she will be taxed on the amount above the contribution. The earnings grow on a tax-deferred basis, and the investor is not taxed on the earnings until withdrawal at retirement.

Note: During the payout phase of a variable annuity, accumulation units are converted into a fixed number of *annuity units*. Investors receive a fixed number of annuity units periodically (usually monthly) with a variable value, depending on the performance of the securities in the separate account.

When an investor purchases an annuity, she has to decide which of the following payout options works best for her:

- **Life annuity:** This type of payment option provides income for the life of the *annuitant* (the individual covered by the annuity); however, after the annuitant dies, the insurance company stops making payments. This type of annuity is riskiest for the investor because if the annuitant dies earlier than expected, the insurance company gets to keep the leftover annuity money. Because it's the riskiest type of annuity for the annuitant, it has the highest payouts of all the options.
- **Life annuity with period certain:** This payout option guarantees payment to the annuitant for a minimum number of years (10, 20, and so on). For example, if the annuitant were to purchase an annuity with a 20-year guarantee and die after 7 years, a named beneficiary would receive the payments for the remaining 13 years.
- **Joint life with last survivor annuity:** This option guarantees payments over the lives of two individuals. As you can imagine, this type of annuity is typically set up for a husband and wife. If the wife dies first, the husband receives payments until his death. If the husband dies first, his wife receives payments until her death. Because this type of annuity covers the lifespans of two individuals, it has the lowest payouts.



REMEMBER All annuities have a *mortality guarantee*. This guarantee means that the investor receives payments as long as she lives, even if it's beyond her life expectancy.

Early withdrawal penalty

As with most other retirement plans, annuity investors are hit with a 10 percent early withdrawal penalty if they withdraw the money prior to age 59½. Yes, that's correct — the 10 percent penalty is added to the investor's tax bracket. Typically, retirement plans include a waiver of the 10 percent penalty in cases such as the purchase of a first home, age 55 and separated from work, death, or disability.

Exploring Variable Life and Variable Universal Life Insurance

You may wonder what life insurance is doing in the SIE, which is mainly about investments. Well, the answer is that certain life insurance products (specifically, *variable life* [VLI] and *variable universal life* [VUL]) have an investment component. Like variable annuities, variable life and variable universal life insurance policies have a separate account for investing. That separate account is kept separate from the insurance company's general fund. You won't need to know too much about the aforementioned insurance products, so I'll keep it brief.



REMEMBER Persons selling variable annuities, variable life insurance, and variable universal life insurance must have not only an appropriate securities license but also an insurance license. Prior to recommending any of the previously mentioned products, you should do an analysis of the client's needs and make appropriate recommendations.

Variable life

Variable life policies have a fixed premium. As with variable annuities, the investor chooses the investments held in a separate account. The death benefit (face amount) on the policy is fixed to a minimum but not to a maximum. The death benefit may increase depending on

the performance of the securities held in the separate account. If the separate account performs poorly, there may be limited or no cash value built up. Policyholders may borrow up to 75 percent of the cash value.

Variable universal life

Unlike variable life policies, variable universal life policies do not have fixed premiums. As such, they are sometimes called flexible premium variable life policies. As with variable life policies, the investors can pick the securities held in the separate account. In this case, since the premium is not fixed and the securities held in the separate account may perform poorly, the minimum death benefit and cash value are not guaranteed.